VP-INSTRUCTOR

Instructor / Benchmark Guide

Hidden ground truth, issue map, expected findings and scoring rubric

Entity	VertexPay Technologies Private Limited
Status	INSTRUCTOR ONLY - DO NOT DISTRIBUTE
Benchmark note	Synthetic record. Names and identifiers are fictional; statutory and regulatory sources are real.

This guide is not part of the participant case file. It supplies canonical synthetic facts where the benchmark designer intends a ground truth, identifies genuinely unresolved questions, and prevents scoring from rewarding invented certainty.

1. Case synopsis and hidden ground truth

VertexPay is a real-business-style but wholly fictional Mumbai fintech. Aarav and Nisha founded it in 2019. Meridian invested INR 120 million in November 2022. By August 2025 the Company faced a genuine liquidity crisis and a material Nimbus customer problem. Aarav made serious governance and documentation errors, but the available evidence does not establish that he stole Company money or personally received Vertex Labs payments. Meridian and Kavya used the crisis to accelerate a control shift through procedurally defective meetings and a selective distressed bridge. Both sides therefore have substantial merits and vulnerabilities.

- Canonical cap table: pre-Series A FD 8.0m; post-Series A 10.0m FD (9.5m issued/as-converted + 0.5m unallocated ESOP). Post-bridge: 14.5m issued and 15.0m FD before any ESOP top-up.
- Aarav owns 4.05m throughout: 40.5% post-Series A FD; 27.0% post-bridge FD; 27.93% of post-bridge issued voting capital.
- Meridian owns 2.0m before bridge and receives 4.0m: 40.0% post-bridge FD. Riverstone receives 1.0m: 6.67% FD.
- The bridge had a real commercial rationale: on 9 September unrestricted cash was INR 13.4m and payroll/statutory outflow due by month-end was INR 18.9m. A funding solution was required.
- No compliant 15-Business-Day pro rata offer was made. Nisha never waived pre-emption. Aarav proposed conditional funding at INR 6.00, not a committed September rescue on bridge terms.
- Kavya's spouse was a fixed-fee adviser to Riverstone, not an owner. This creates at least an appearance/conflict disclosure issue; it is not canonical proof of statutory related-party status or secret benefit.
- The INR 0.9m Riverstone shortfall was in fact withheld under a separate diligence mandate. The Company allotted fully paid shares before receiving that amount. There is no executed set-off agreement in the record.

- Aarav instructed payment splitting and misleading narration. He believed funds secured hardware. Vertex Labs produced real services/hardware worth at least INR 19.8m and refunded INR 3.2m. INR 1.1m remains unexplained after combining support/refund, but tracing is incomplete.
- Aarav's 'PA application in final review' email was inaccurate shorthand; Compliance immediately corrected it and Aarav accepted the correction. It supports carelessness and possible customer misrepresentation, not necessarily deliberate regulatory fraud.
- The 12 September minutes were reconstructed on 5 October. Rohan approved suspension on 15 September but never approved a fraud finding. The minutes' implication of contemporaneous digital signature and later 'unanimous' language are false or materially misleading.
- The bank mandate page was signed blank by Nisha on 11 September for contingency and dated before approval. Kavya knew the bank wanted it early. Activation occurred after the Board meeting, so authority and document-integrity questions are distinct.
- Aarav received incomplete 12 September materials and initially a broken/disabled-account link. A link was resent shortly before the meeting; non-attendance was not a clean refusal.
- EGM notice was sent to the register email but not SHA notice addresses, with a credible clear-notice issue. Aarav's full representations were not circulated and his waiting-room entry was deliberately not admitted after rapid voting.
- Nimbus never demanded Aarav's removal. It did have genuine compliance/log concerns and ultimately terminated after governance instability and incomplete remediation.
- No bad-leaver share transfer completed. The call notice alone did not change legal or beneficial ownership.

2. Canonical chronology

Date	Ground-truth event
2019-06-28	Company incorporated; Aarav 60%, Nisha 40% before seed financing.
2022-09-26	Series A term sheet signed at INR 60 per security; its valuation, investment amount and share count reconcile.
2022-11-18	Series A closing, SHA/employment/Articles adoption. SHA records INR 6 despite INR 120m for 2m securities. Hidden ground truth: INR 60 was the commercial price; INR 6 is a decimal drafting error. Bank received INR 120m.
2024-11-18	All founder reverse-vesting completed; later bad-leaver clause concerns vested shares only.
2024-12-15	Nimbus MSA signed.
2025-07-16/17	Aarav instructs split payments/narration; Finance and Nisha know at least part of the payments.
2025-08-07	Board flags cash, PA wording and Vertex Labs approval gaps.
2025-08-21	Aarav sends inaccurate PA-review wording; Compliance corrects same evening.
2025-08-25/26	Nimbus meeting; letter dated 22 Aug actually generated and sent 26 Aug.
2025-08-28	Board continues after Aarav leaves; forensic review approved; no misconduct finding.

Date	Ground-truth event
2025-09-06	Meridian/Riverstone allocation discussed; Nisha does not waive; Rohan insists equal offer.
2025-09-08/09	Meridian special notice and Company EGM notice.
2025-09-10/12	Urgent Board notice, incomplete delivery, meeting, suspension/bridge/EGM/bank resolutions.
2025-09-15	Rohan approves suspension only; later minutes imply more.
2025-09-23	Aarav sends representations; full text withheld.
2025-09-30	EGM votes before Aarav joins; resolutions declared passed.
2025-10-01	Board allots shares, terminates Aarav and issues bad-leaver call.
2025-10-03/04	Subscription receipts: INR 72m + INR 17.1m; shortfall persists.
2025-10-05	12 September minutes reconstructed.
2025-10-06/13	Notice and reply.
2025-10-20	Draft NCLT petition and IA.

3. Planted contradiction and issue inventory

ID	Issue	References	Expected finding
I-01	Definitive security price	VP-04 vs VP-01 / bank receipt	Term sheet INR 60 reconciles; SHA says INR 6 while still stating INR 120m for 2m securities. Hidden truth: SHA decimal error; participant should flag, not assume.
I-02	Board quorum	VP-01 cl 3.2; VP-02 art 18; VP-05	SHA requires Founder 1; Articles do not. Corporate validity and inter se breach may differ.
I-03	Emergency notice	VP-01 cl 3.3; VP-05 C	Real emergency, but clause says emergency process cannot be used solely for financing; mixed agenda.
I-04	Conflict	VP-01 cl 3.4/4; VP-05; VP-08	Aarav conflict is real. It does not clearly erase his contractual consent. Kavya/Riverstone appearance issue also exists.
I-05	Minutes authenticity	VP-05 E; VP-15 Ex A	12 Sep minutes reconstructed 5 Oct; Rohan's approval overstated.
I-06	Bank mandate chronology	VP-05 C; VP-15 Ex B; WhatsApp	Form signed/dated before authority; activation after. Distinguish falsity from actual bank operation.
I-07	EGM notice	VP-06; VP-01 cl 15; VP-02 art 36	Different address regimes; clear-days and proof of delivery issues.
I-08	Removal representations	VP-06	Full representations received but not circulated; summary said to be read.
I-09	Waiting room	VP-06; WhatsApp	Aarav deliberately not admitted after unusually rapid vote; actual late arrival remains relevant.
I-10	Special resolution	VP-06	Supporters had 100% of votes cast if meeting valid. Percentage of total issued is not the statutory voting denominator for result.

ID	Issue	References	Expected finding
I-11	Pro rata rights	VP-01 cl 6; VP-08	No formal offer; oral approach to Nisha and conditional Aarav proposal do not satisfy clause.
I-12	Cap-table denominator	VP-01 cl 2/7; VP-06; VP-17 workbook	Issued vs FD and ESOP treatment are mixed, producing 17.8%, 27%, 27.93%, and board-pack figures.
I-13	Subscription shortfall	VP-05 D; VP-12; VP-18 workbook	Allotment for INR 18m but receipt INR 17.1m; fee netting unsupported.
I-14	Bad Leaver	VP-01 cl 8; VP-03; VP-05 D	All shares vested; call not automatic; fraud not finally established; no transfer/payment/valuation.
I-15	Unanimity	VP-05 D/E; VP-08; VP-12	Rohan expressly dissented on fraud; 'unanimous' is wrong.
I-16	Vertex Labs quantum	VP-05/07/10/18	INR 24.1m paid; INR 19.8m support; INR 3.2m refund; INR 1.1m unexplained, subject to complete invoices.
I-17	Personal benefit	All financial records	No tracing to Aarav. Do not equate brother's firm plus poor process with proven embezzlement.
I-18	Nimbus notice date	VP-09; VP-15	Dated 22 Aug, generated/sent 26 Aug, references 25 Aug. Suspicious but explained as template dating error.
I-19	Nimbus demand	VP-05/08/09	Kavya says leadership change needed; Nimbus documents do not. Competing call notes are unverified.
I-20	Revenue recognition	VP-10	INR 31.5m booked without signed acceptance; MSA deemed-acceptance clause not produced.
I-21	Regulatory status	VP-01/07/09/10	No evidence VertexPay held live funds. Marketing risk is real; operating unlicensed PA is not established.
I-22	Electronic evidence	VP-07/08/15/16	Renders/text exports lack complete section 63 certificate, hashes or native custody.
I-23	Privilege	VP-08	Two investor-lawyer communications are facially privileged; benchmark tests identification, not casual merits use.
I-24	Standing	VP-13/17	Aarav exceeds 10% on every plausible denominator; waiver under s244 is unnecessary.

4. Expected legal issues and verified authorities

Topic	Expected treatment
Oppression / mismanagement	Companies Act 2013 ss 241-244. Test requires more than isolated illegality; assess the course of affairs, prejudice/oppression and just-and-equitable dimension. Relief under s242 is broad. TCS Ltd v Cyrus Investments, Supreme Court judgment 26 Mar 2021, should be read directly and not reduced to a slogan.
Further issue and control dilution	Companies Act s62, the Articles and director duties under s166. Examine statutory approvals, purpose, valuation, disclosures and contractual pre-emption separately.
Director removal	Companies Act s169, including special notice and reasonable opportunity to be heard/representations. Also consider s115 and the facts of circulation and access.
Meetings and minutes	Companies Act ss100-102, 114-118, 173-175; SS-1 and SS-2 revised versions effective 1 Apr 2024 under

Topic	Expected treatment
	s118(10). Do not assume a contractual defect automatically voids every corporate act.
Directors' conflicts/duties	Companies Act ss166, 184 and, where applicable, s188 and relevant rules. Related-party status and contractual 'related party' can differ.
Articles and SHA	Companies Act s10 and the actual wording of VP-01/VP-02. Score recognition that inter se contract enforceability, corporate authority and statutory validity require separate analysis.
Arbitration / NCLT	Arbitration Act ss8, 9, 11 and 16; SHA cl14. Apply the subject-matter and remedy analysis in Vidya Drolia v Durga Trading Corporation (Supreme Court, 2020/2021 judgment). Avoid a categorical claim that every shareholder dispute is or is not arbitrable.
Employment / restraints	Employment agreement and Contract Act s27; Specific Relief Act s14 may affect specific enforcement of determinable/personal-service obligations. Distinguish employment termination from removal as director and share rights.
Electronic evidence	Bharatiya Sakshya Adhiniyam 2023 ss61-63 and statutory certificate schedule; IT Act ss4-5, 10A-13 as relevant. Identify authentication, completeness, hearsay/context and privilege separately.
Payment regulation	Payment and Settlement Systems Act 2007 and RBI Guidelines on Regulation of Payment Aggregators and Payment Gateways dated 17 Mar 2020, with subsequent modifications. Classify actual fund flow before alleging unauthorised PA operation.
Procedure	NCLT Rules 2016 rr34, 37 and 81; Form NCLT-1; verification in Form NCLT-6. The supplied petition is a benchmark draft, not a filing-ready substitute for local registry requirements.

Primary-source links (verified 29 August 2026)

- Companies Act 2013 (India Code): https://www.indiacode.nic.in/bitstream/123456789/2114/5/A2013-18.pdf
- NCLT Rules 2016 (NCLT): https://nclt.gov.in/sites/default/files/basicpage/Rules_NCLT_latest.pdf
- Arbitration and Conciliation Act 1996 (India Code): https://www.indiacode.nic.in/bitstream/123456789/1978/3/a1996-26.pdf
- Bharatiya Sakshya Adhiniyam 2023 (India Code): https://www.indiacode.nic.in/bitstream/123456789/20063/1/a2023-47.pdf
- Indian Contract Act 1872 (India Code): https://www.indiacode.nic.in/bitstream/123456789/2187/2/A187209.pdf
- Specific Relief Act 1963 (India Code landing page): https://www.indiacode.nic.in/handle/123456789/12938
- Information Technology Act 2000 (India Code): https://www.indiacode.nic.in/bitstream/123456789/13116/1/it_act_2000_updated.pdf
- ICSI SS-1 limited revision/current page: https://www.icsi.edu/finalss1/
- ICSI SS-2 revised effective 1 Apr 2024: https://www.icsi.edu/media/webmodules/Final_SS-2.pdf
- RBI PA/PG framework and escrow modification: https://www.rbi.org.in/scripts/NotificationUser.aspx?Id=11996

- TCS Ltd v Cyrus Investments, Supreme Court judgment 26 Mar 2021: https://api.sci.gov.in/supremecourt/2020/212/212_2020_31_1503_27229_Judgement_26-Mar-2021.pdf
- Vidya Drolia reference judgment, Supreme Court: https://api.sci.gov.in/supremecourt/2020/15088/15088_2020_33_1501_26735_Judgement_08-Mar-2021.pdf

5. Facts supporting each side

Aarav / Petitioner	Company / Investor
Protected consent and formal pre-emption were bypassed; original Board quorum under SHA absent.	Real insolvency/payroll risk and Nimbus customer crisis required rapid funding.
Minutes reconstructed; Rohan dissent suppressed; wrong email/link and EGM exclusion.	Aarav knew about meeting, joined late, and had a conflict in investigation of related-party payments.
No proof of personal receipt or unauthorised live fund pooling; real vendor value/refund exists.	Aarav directed split payments/misleading narration, incomplete paperwork and inaccurate PA wording.
Bridge concentrated Meridian control and Riverstone had an appearance connection.	Price reflected distress; Meridian funded INR 72m and Riverstone substantially funded; all votes cast supported issue.
Bad-leaver process premature; no final fraud finding, valuation, transfer or payment.	Cause clauses exempt fraud from cure; evidence supported suspension and at least termination without Cause.
Nimbus did not demand removal; governance action worsened customer outcome.	Nimbus concerns pre-dated removal and revenue/log issues were material.

6. Deliberately ambiguous questions

- Whether the Articles/SHA quorum conflict makes the 12 September corporate resolutions void, voidable, or merely contractual breaches; answer depends on relief and full law/Articles analysis.
- Whether the EGM notice period and service were legally sufficient; facts support defects but the file omits complete dispatch infrastructure and any consent/waiver analysis.
- Whether the bridge issue was predominantly for capital rescue or control; both motives exist and purpose is evaluative.
- Whether Vertex Labs' remaining gap reflects missing invoices, overpayment or diversion; no final tracing evidence.
- Whether Nimbus deemed-acceptance permitted August revenue recognition; full MSA is deliberately absent.
- Whether Kavya's spouse relationship meets a statutory related-party definition; facts prove adviser relationship only.
- Whether privileged investor emails can be relied on, have been waived, or should be excluded; production circumstances are incomplete.

- Whether any contractual claims should be referred to arbitration while the NCLT retains statutory issues; avoid all-or-nothing answers.
- Appropriate final remedy: reversal, pro rata cure, governance regulation, or fair-value exit. The benchmark accepts reasoned alternatives.

7. Expected findings by common Legal AI task

Task	Minimum expected result
Chronology	Produce the core dates above; flag 22/25/26 Aug anomaly, 11/12 Sep mandate, 15 Sep approval vs 5 Oct creation, 30 Sep/30 Oct minutes and funding after allotment.
Contract review	Identify clauses 3.2-3.4, 4, 6, 8, 14-16; Articles omissions/conflicts; employment cure/process; bad-leaver not automatic; post-employment non-compete risk.
Issue spotting	Cover corporate approvals, purpose/duties, oppression, removal, arbitration split, employment, related-party/conflict, regulatory classification, evidence/authentication, privilege and remedies.
Cap table	Reconcile 10m pre-bridge FD and 15m post-bridge FD; Aarav 27%; Meridian 40%; distinguish issued 14.5m and Aarav 27.93%. Identify 17.8% as unsupported.
Financial analysis	Confirm genuine funding crisis; flag unsupported Nimbus recognition, cost totals, Vertex Labs 24.1/19.8/3.2/1.1 bridge, and Riverstone 0.9 shortfall.
Evidence review	Separate admissions from allegations; demand native records, complete s63 certificate, hashes, device/server custody, Board video, valuation, subscription agreement, PAS-3 and full MSA.
Pleading analysis	Find standing satisfied; distinguish statutory from contractual/employment claims; evaluate interim preservation/status quo with business carve-outs; note missing filing evidence.
Legal notice drafting	Accurately state shareholding and alternative theories; preserve statutory/arbitration positions; avoid asserting theft, voidness or regulatory breach as established.
Investigation	Design interviews and document plan; do not treat family relationship or reconstructed document alone as dispositive; test both control-plan and genuine-rescue hypotheses.
Settlement	Model independent valuation/fair-value exit, governance standstill, evidence preservation, mutual narrative, employment dues and treatment of bridge/shortfall.

8. Scoring rubric (100 points)

Criterion	Points	Indicators
Document-grounded accuracy	20	Uses correct references; separates fact/allegation/inference; no invented record.
Chronology and contradiction detection	15	Finds material date, minutes, notice, payment and customer anomalies.
Corporate/company-law analysis	20	Sections 62, 166, 169, 241-244; meetings; Articles/SHA distinction; appropriate relief.
Contract and forum analysis	10	Correct clauses, employment/share separation, nuanced arbitration/NCLT split.
Financial and cap-table accuracy	15	Correct denominators/percentages and reconciliations; finds shortfalls without

Criterion	Points	Indicators
		formula errors.
Evidence, privilege and investigation	10	Authentication/custody/certificate gaps; privilege handled; balanced investigation plan.
Practicality and remedies	5	Proportionate interim/final solutions protecting business and parties.
Communication quality	5	Concise, prioritised, precise, appropriate uncertainty.

Penalty guidance

- -10 or more: invents a case, statute, missing document or decisive fact.
- -8: gives a materially wrong cap table or treats 17.8% as correct without qualification.
- -5 each: asserts proven embezzlement; asserts Nimbus demanded removal; asserts completed bad-leaver transfer; or ignores genuine liquidity crisis.
- -5: uses facially privileged communications without identifying privilege issue.
- Cap at 60: one-sided analysis that ignores material contrary evidence.
- Cap at 50: fails to distinguish statutory NCLT relief from contractual/arbitration claims.

Performance bands

Score	Band
90-100	Expert: precise, balanced, source-anchored and numerically correct
75-89	Strong: finds most issues with minor omissions
60-74	Competent: useful but incomplete or weakly prioritised
40-59	Weak: material misses, arithmetic/forum/evidence errors
0-39	Unreliable: invented or materially wrong conclusions

9. Instructor administration

Recommended participant tasks: 60-minute chronology/issue spot; 90-minute contract and cap-table review; 3-hour NCLT merits/interim analysis; evidence admissibility and investigation plan; settlement memo; or cross-document contradiction audit. Do not distribute this guide or instructor ZIP. If a task excludes legal research, score only against authorities supplied or propositions framed conditionally.